

M&A Planning Model

An integration Planning Model for driving inorganic (acquisition) growth through a unified platform of technology & services

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Integration Overview

GUIDING PRINCIPLES & CORE TENANTS

Guiding Principles

- ☐ Reduce impact to acquisition during transition
- ☐ Preserve Safety & Trust for the company
- ☐ Promote effective collaboration
- ☐ Leverage skills, solutions and capabilities
- ☐ Involve IT early - detect critical risks, shape the approach, identify synergies
- ☐ Identify, capture, and preserve knowledge and IP
- ☐ Ensure acquisition staff are accepted as org. employees
- ☐ Promote consolidation and reuse
- ☐ Align integration planning with business decisions
- ☐ Preserve and extend operational capability

Core Tenants

- ☐ Capture & Preserve Value Drivers
- ☐ Tailor approach with cultural & regional sensitivities
- ☐ Encourage an Open Mind to modifying processes to "do the right thing"
- ☐ Start with Listening to understand the perspectives
- ☐ Promote Shared Service Model (a.k.a. non-negotiables)

Integration Overview

GOVERNANCE MODEL

Leverage the PMO

- ☐ Planning & Coordination w/ each acquisition
- ☐ Coordinate & Rationalize integration across all Business Units
- ☐ Manage Resource Utilization (Business & IT)
- ☐ Issue / Risk Management
- ☐ Measurement & Monitoring
- ☐ Drive Continuous Improvement

Establish Integration as a Core Competency

- ❑ **Establish an Integration Council (beyond M&A)**
 - Data Governance
 - Process Governance
 - Architectural Governance

- ❑ **Establish an Integration Mgmt. Office (IMO)**
 - Planning & Execution
 - Hardware, System, Data, Process
 - Coordinate x-functional teams (or service owners)

Integration Overview

BUSINESS PLANNING MODEL

Integration Planning

❑ Integration Plan

- Draft a functional playbook (leveraging capabilities)
- Align on value points
- Align "commits" to Shared Services & M&A Lifecycle
- Identify Key Metrics & Track Value Points
 - Infrastructure
 - Marketing & Sales
 - Order to Cash
 - Operations (fulfillment & engineering)
 - Logistics and Asset Management

❑ Obtain approval for the Integration Plan:

- BU, Acquisition, & Integration Council

Integration Overview

LIFECYCLE EXECUTION MODEL

Due Diligence

- ☐ Bring key IT staff under NDA
- ☐ Profile the Acquisition
- ☐ Tailor the Due Diligence Playbook
- ☐ Request for Documentation
- ☐ Conduct Level 1 Assessment

Planning

- ❑ Post-Deal Integration Kickoff Meeting

- ❑ Level 2 Site Assessment
 - Portfolio Review (Assets)
 - Application Architecture Review
 - Security Management Review
 - Risk Management Review
 - Report Out: Findings & Mitigation Plan

- ❑ Program Architecture document
 - Architecture Scope
 - Solution Architecture

- ❑ Integration Roadmap Template

Execution

- ☐ Week 1 Employee on-boarding
- ☐ Level 2 & 3 Scans
- ☐ Level 2 Due Diligence
- ☐ Review Approach for Migration (ref. classification)
- ☐ Establish communication plan (BU, Acquisition, IT)
- ☐ Align with 3-Tier Service Model & Budget
- ☐ Achieve Steady State with Handoff to Operations & PMO

Post Execution Turnover

- ☐ Key functional integration milestones completed
- ☐ Major Issues & Risks have been addressed
- ☐ Minor Issues & Risks have been addressed or signed off (but tracked)
- ☐ Synergies realized
- ☐ Value points preserved
- ☐ Business Plan optimized
- ☐ IT Architecture Roadmap Updated
- ☐ Transfer ownership to operational teams & service owners

Accelerators

TOOLS, TEMPLATES, & TECHNOLOGIES

Template: Sales Optimization

- ☐ Draft & Manage:
 - Program Plan and
 - Master Schedule covering sales operations
- ☐ Track delivery timelines (“commits”)
- ☐ Coordinate with Data Management
- ☐ Conduct Weekly CRM meetings
 - Acquisition Sales Leads, IT RMs, & Sales Ops Leads
- ☐ Draft Business Requirements Document
- ☐ Draft Solution Architecture for Sales Integration

Template: Sales Optimization

☐ Acquisition Account Mapping

- Data Profiling & Cleansing
- Data Matching, Mapping, & Transformation
- Align with Data Governance (customer & marketing data)

☐ Identify account delivery points

- (pipeline & customer info)

☐ Educate Sales Ops on acquisition's sales pipeline

☐ Train acquisition staff on tool(s)

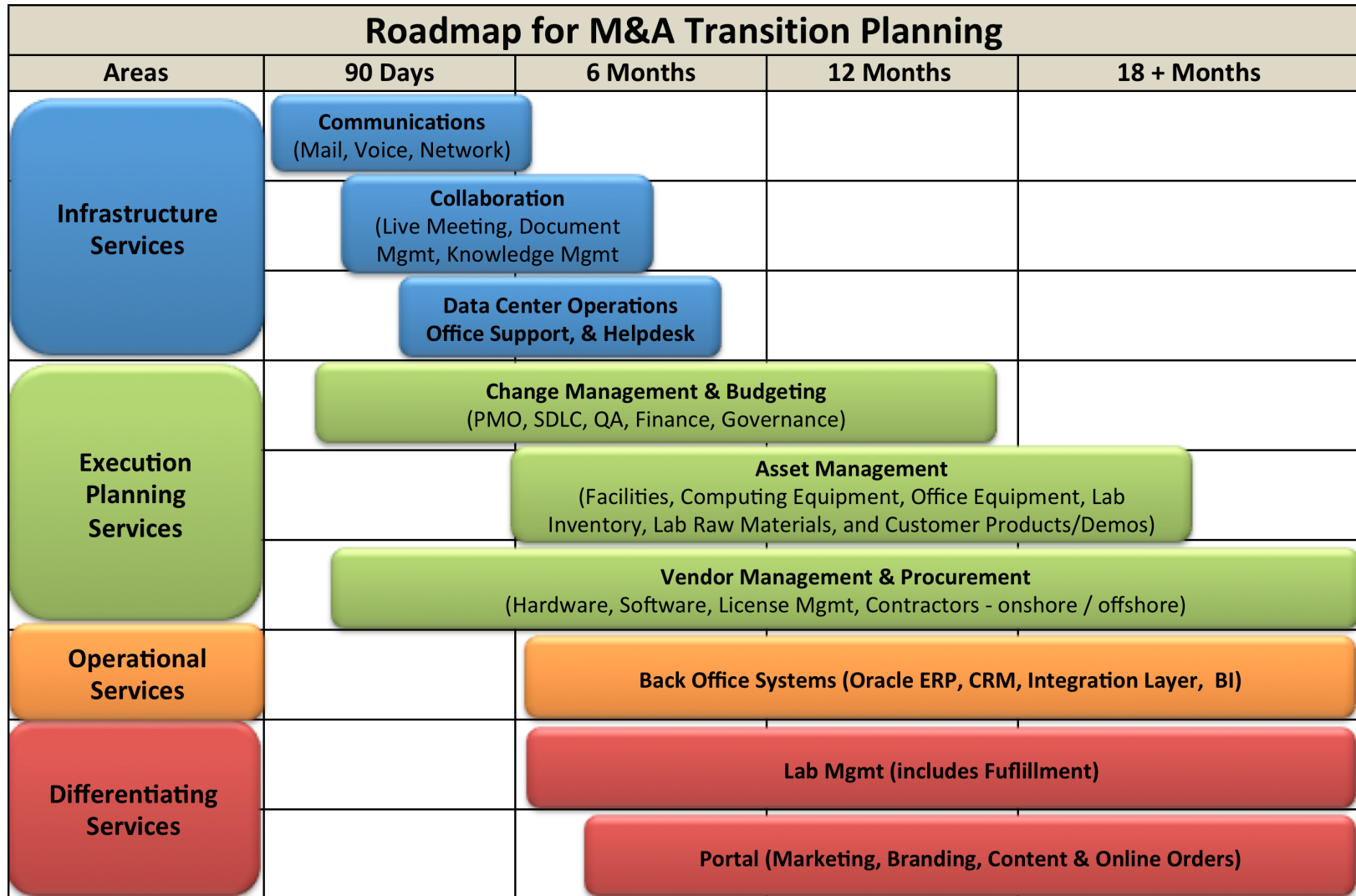
☐ Provide buddy system (pairing CRM SME with acquisition sales manager) to ensure solution meets their needs (process, reports, metrics, data alignment)

M&A RACI Model

RACI Diagram for M&A								
M&A Lifecycle	Corporate Strategy Team	IT M&A Team	BUs	Functional Areas	RM	Integration Lead	IT Service Owners	IT PMO
Prospecting	A	R	I	I				
Due Diligence	A	R	R	R			*	
DEAL	A	C	C	C				
Integration	I	R	C	R	C	R	A	R
Post-Integration	I	R	C	R	C	R	A	R

* Security Audit will need to be performed going forward
(Note: sourcing will need to be determined)

M&A Transition Planning Roadmap



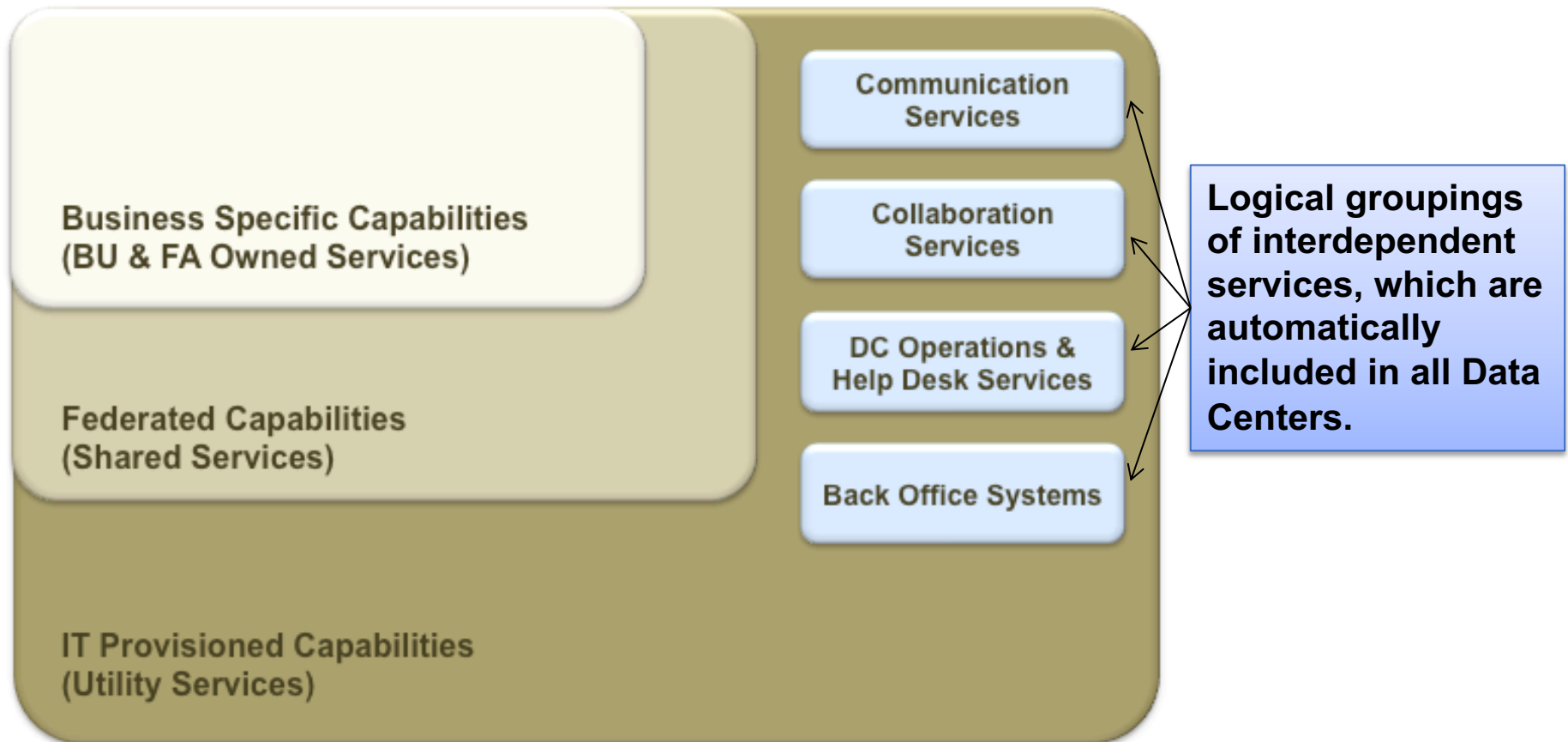
Program Management Office

- ❑ **The Program Management Office (PMO) is the core service that drives execution of projects to implement the vision and strategy:**
 - Enable one face to the customer
 - Guide effective change through our business units
 - Drive organic change through innovation
 - Drive inorganic change through M&A Integration
 - Enable the transformation to deliver knowledge services
 - Manage the multiple tracks to realize our Enterprise Roadmap
 - Provide coordination, communications, and control across the organization

Enablers

MODELS & METHODS

Shared Services Model



These services are maintained as if they were offered like any utility to the organization with competitive rates commensurate with the services provided. Because the services are highly interdependent to ensure a cohesive, flexible, and adaptive offering, change management is tightly controlled and standards are strictly enforced.

Execution:

M&A Transition Planning Approach



☐ **The M&A IT Team brings a service-oriented approach for each transition using the following a 4-Steps:**

- Step 1: Connect, Communicate, & Collaborate
- Step 2: Plan, Coordinate, Budget, & Facilitate
- Step 3: Integrate, Operate (ERP), Analyze & Visualize
- Step 4: Preserve Service Delivery, Lab Mgmt., & Brand

❑ Connect

- Establish initial connectivity via a site to site VPN tunnel
- Migrate connectivity to a more robust solution via circuit on our global data network
- Configure directory services (DNS, IP setup)

❑ Communicate

- Setup new staff in the HR system
- Establish email forwarding
- Migrate email to email system
- Establish telephony services
- Provide support plan via the IT Help Desk

☐ **Manage Risk**

- Secure the perimeter with Firewall Security and Policy considerations
- Conduct security review (Compliance, Confidentiality, Data Integrity, and Business Continuity) and propose mitigation activities
- Secure all data & systems via technical D/R services

☐ **Collaborate**

- Provide Document Management services
- Provide Knowledge Management services
- Provide access to Meeting & Collaboration services

☐ Planning & Coordination

- Extend project management office (PMO) services
- Provide training on all development methodologies (if applicable)
- Coordinate all transition planning activities within Change Management services

☐ Budgeting

- Provide improved purchasing capability with our Vendor Mgmt. and Centralized Purchasing services
- Introduce organization's budget management services
- Extend global licensing agreements with corporate partners

☐ Facilitation

- Initiate monthly meetings with key leadership and IT M&A team
- Manage facilities, assets (office equipment & lab demos & equip.)

❑ Integrate

- Provide reliable utility services covering:
 - Org's integration services between applications, processes, and data stores
 - Data Management services (profiling, cleansing, & mapping)
 - Data Warehousing services
 - Standard Business Intelligence & Reporting services
- Security services (authentication & authorization)
- Identity Management & Provisioning services in development

❑ Operational Excellence

- Ensure global services cover all functional areas to provide operational excellence and consistency in service delivery for all of the organization's customers (see next slide for detailed overview)
- Single view of the customer via CRM and Help Desk Services
- Transactional integrity & deal optimization via Buy & Pay

Execution:

Step 4: Enable Service Delivery, Support Lab Mgmt., & Preserve Brand

❑ Preserve Value Differentiation

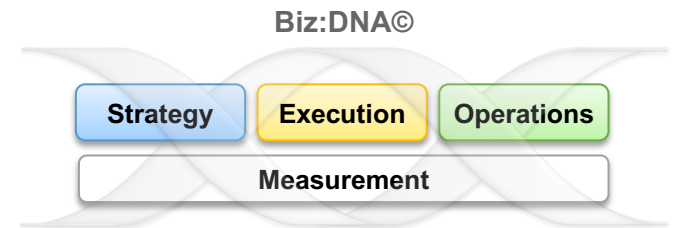
- Brand protection and enhancement
- Data, Information, and Knowledge Assets
- Technical Capabilities
- Domain Expertise (includes certifications)
- Contracts & IP (includes patents)

❑ Support Value Delivery to the Customer

- Product / Service development & delivery
- Staff with key knowledge and/or capabilities
- Uniquely tailored fulfillment processes
- Relationships with customers, partners, & vendors

Thank You

Measure what matters
Create and deliver the right value
Build and nurture a winning culture
Proactively manage change & complexity



Phone: (847) 261-4332
Online: www.enablingvalue.com